

Executive Summary

Billing to Cash - End-to-End Analysis

Objective

Evaluate the effectiveness of the Billing-to-Cash process by analyzing invoicing, collections, aging, and disputes, with the goal of identifying structural cash flow risks, root causes of delayed collections, and areas requiring operational intervention.

Key Findings

1. Cash collection is structurally lagging invoicing

Cash collected (\$9.07M) trails total invoiced revenue (\$16.42M) by a wide margin, resulting in \$7.34M in outstanding AR. This gap persists over time, indicating a systemic issue rather than short-term timing delays.

2. Receivables aging reflects severe collection risk

A material portion of outstanding AR has migrated into long-aged buckets, significantly reducing recoverability and increasing write-off risk.

3. Risk is concentrated and unevenly distributed

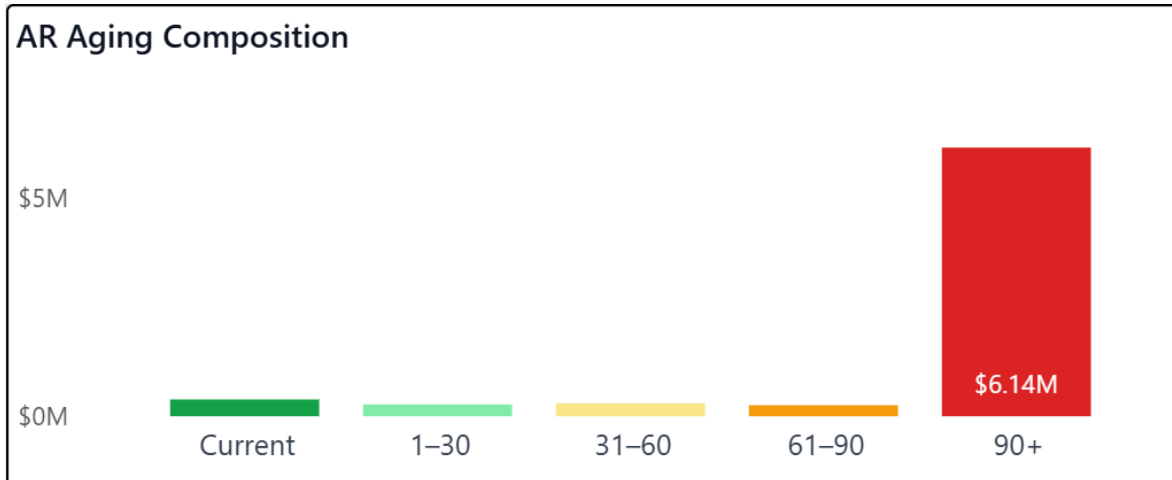
Small Business customers contribute the largest share of outstanding and long-aged AR, indicating higher credit risk concentration and weaker payment discipline in this segment.

4. Disputes are not the primary driver of delayed cash, but they amplify aging risk

Disputed AR represents a relatively small share of total AR (4.14%), confirming that delayed cash is primarily driven by collection effectiveness. However, disputed balances age disproportionately into 90+, worsening overall AR quality.

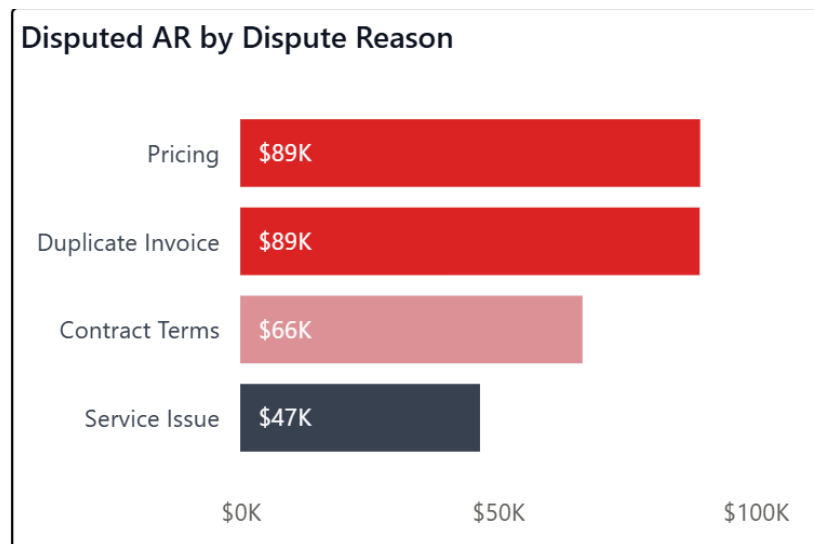
Evidence Highlights

Evidence 1. Structural AR Aging Is the Primary Cash Risk



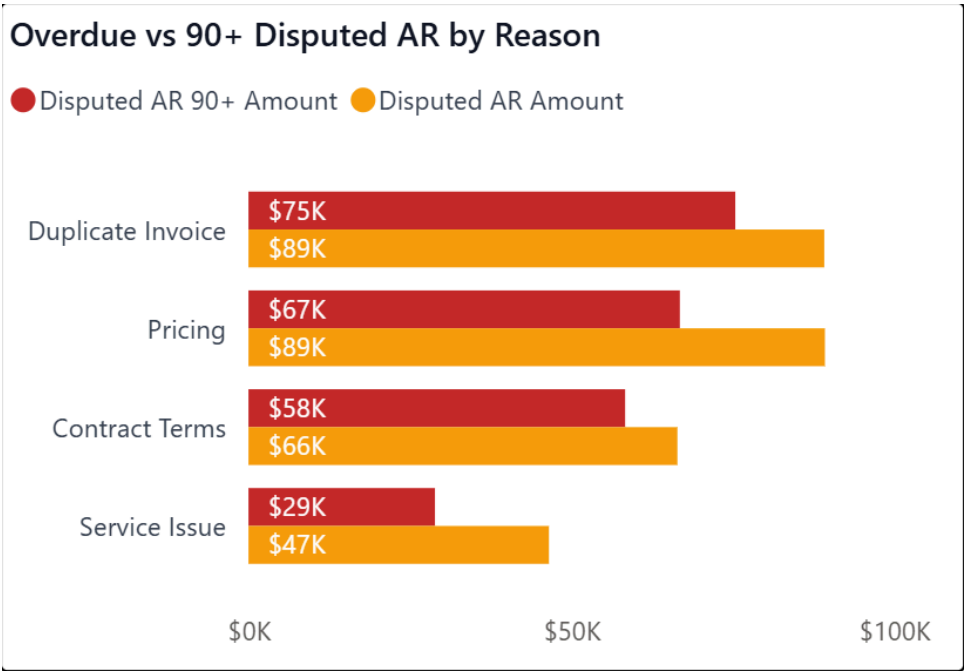
The majority of outstanding AR is concentrated in the long-aged balances, confirming structural collection failure, not short-term timing delays.

Evidence 2. Disputes Are Driven by Preventable Root Causes



Pricing and duplicate invoice disputes account for the largest share of disputed AR and dominate the 90+ bucket, pointing to upstream billing and pricing control gaps.

Evidence 3. Dispute Aging Severity by Root Cause



Pricing and duplicate invoice disputes account for the largest share of 90+ disputed AR, indicating that preventable dispute types are aging into high-risk territory.

Operational Observations

→ **Dispute handling throughput is high but poorly prioritized**

Despite a 95.6% dispute resolution rate, high-value disputes are not being resolved before aging into 90+, suggesting prioritization and escalation gaps rather than volume constraints.

→ **Collections efforts appear broad rather than risk-weighted**

Exposure is not driven by a small set of customers alone, indicating that process and policy improvements will deliver greater impact than isolated escalations.

Recommendations & Next Steps

1. **Shift collections strategy from volume-based to risk-based prioritization**, focusing on 90+ balances and high-risk customer segments.
2. **Address upstream pricing and billing accuracy issues** to reduce preventable disputes before they block cash.
3. **Introduce escalation rules for disputed AR before 90+**, ensuring early resolution of high-value disputes.
4. **Reassess credit and payment policies for Small Business** customers to reduce structural exposure and improve cash predictability.

Conclusion

The Billing-to-Cash challenge is driven primarily by **collection effectiveness and aging discipline**, not dispute volume. While disputes represent a smaller portion of total AR, their poor resolution timing materially worsens receivables quality. Targeted improvements in pricing governance, billing accuracy, and risk-based collections would deliver the greatest impact on cash flow recovery.